years. But you can also see how the short side had a large contribution in 2008, and was quite nice in 2014 as well.

The short side of trend-following strategies is quite a problem to deal with and it requires some counter-intuitive thinking to tackle it. To start by demonstrating the problem, I present in Table 5.2 the results of using the same core strategy that we have arrived at so far when trading both sides, taking only the long trades and taking only the short trades.

The compound return on the short side of −2.13% is not a typo. Neither is the worst drawdown of over half the capital. This tells us that the short side of the strategy, at least as a stand-alone strategy, looks quite abysmal.

One thing is certain; trading only the short side is a very bad idea. It may seem as if the obvious conclusion is to trade only the long side, but things are not as simple as they seem here. For the long-only version, you would have made a return of 20% for a maximum drawdown of 32%, making it appear even more attractive than the long/short version. Looking at standard optimisation techniques, it would appear as if the long-only strategy is the most desirable, with a higher Sharpe ratio, higher Sortino ratio, and so on. But standard optimisation techniques more often than not lead to strategies that fail in reality, so don't stop analysing the results just because a couple of ratios ended up slightly higher.

Such premature conclusions also ignore a key factor, which may not be as obvious. What you are looking at here, in Table 5.2, is data showing the attribution of the long and the short side of the full strategy. It does not show the results of only taking long trades or only short sides. It makes a difference, as the compound returns include the interaction of the two sides. The fact that the short side acts as a volatility dampener means that the long side was able to trade at larger sizes and make more profits than it would have been able to if the short side wasn't there.

TABLE 5.2 **Long versus short, since 2001 (%)**

	Core strategy	Long attribution	Short attribution
Annualised return	18.24	20.37	−2.13
Max drawdown	−43.30	−32.58	−54.27
Annualised volatility	27.52	21.02	15.90
Sharpe ratio	0.722	0.988	−0.056